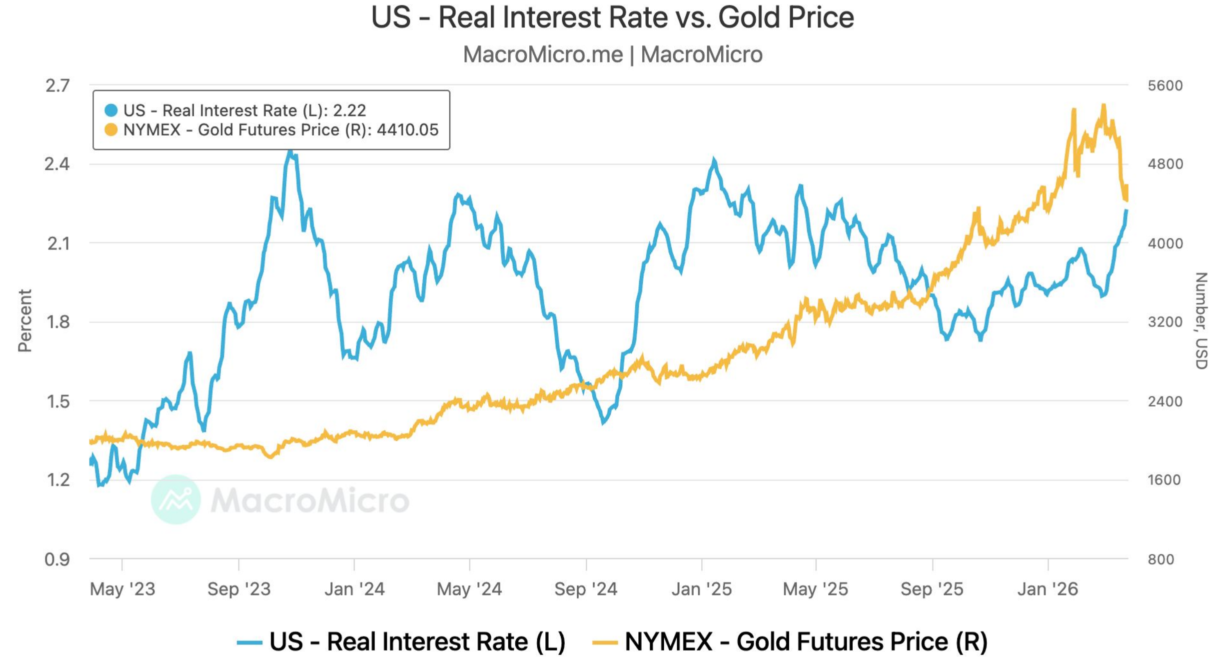
Gold's Worst Weekly Decline Since 1983 Driven by Real Rate Surge

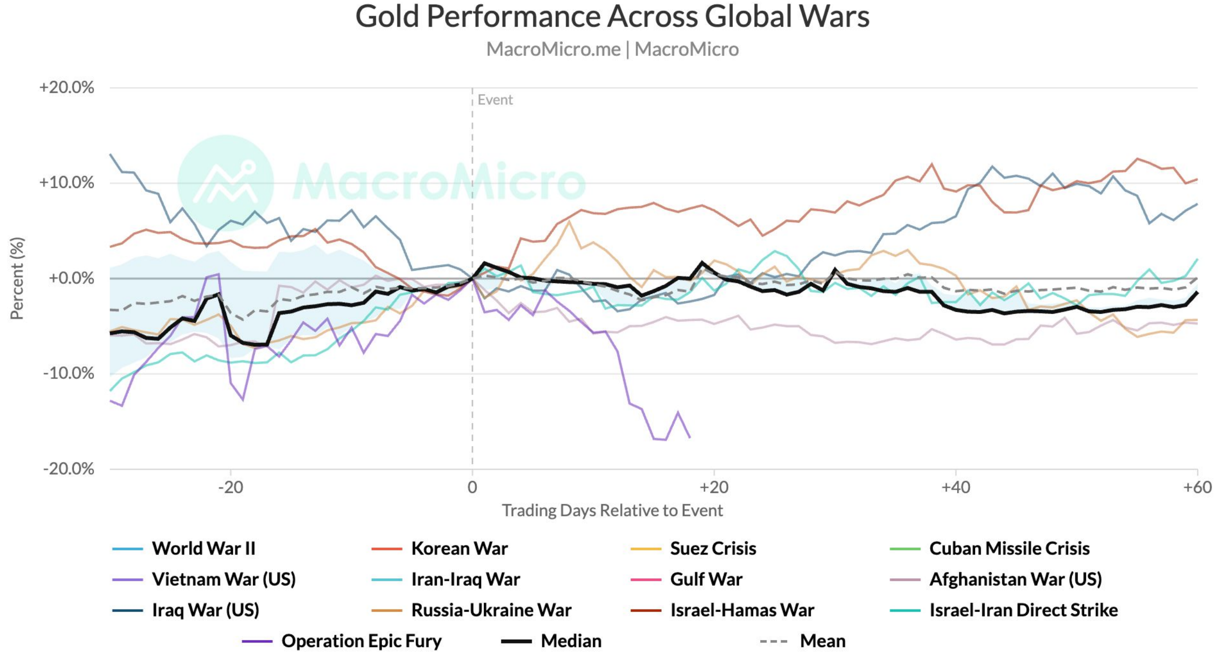
NYMEX gold futures fell more than 10% in the week of March 20, the largest single-week drop since March 1983, retracing to $4,100 and erasing all year-to-date gains. The catalyst was a rapid compression of Fed easing expectations: unlike the 2024/25 geopolitical episodes, the current US-Israel-Iran conflict carries an oil price overhang that has pushed rate hike expectations into market pricing, driving US real rates to a nine-month high and lifting the dollar back to the 100 level.

Gold's safe-haven response to geopolitical conflict is conditional on the monetary policy environment that conflict generates. Across historical wars, episodes where fighting produced sustained oil price pressure drove real rates higher and outweighed the safe-haven bid; contained or deflationary conflicts preserved easing room and allowed gold to appreciate. The current episode falls in the inflationary category: oil price persistence and war duration uncertainty have compressed the Fed's cutting window and introduced rate hike expectations, which is precisely why gold sold off into escalation rather than rallying.

War-driven inflation risk re-priced Fed easing space, sending real rates to their highest level in nine months as gold retreated



Gold's returns during wartime have tracked the real rate environment wars produce, not the presence of conflict itself

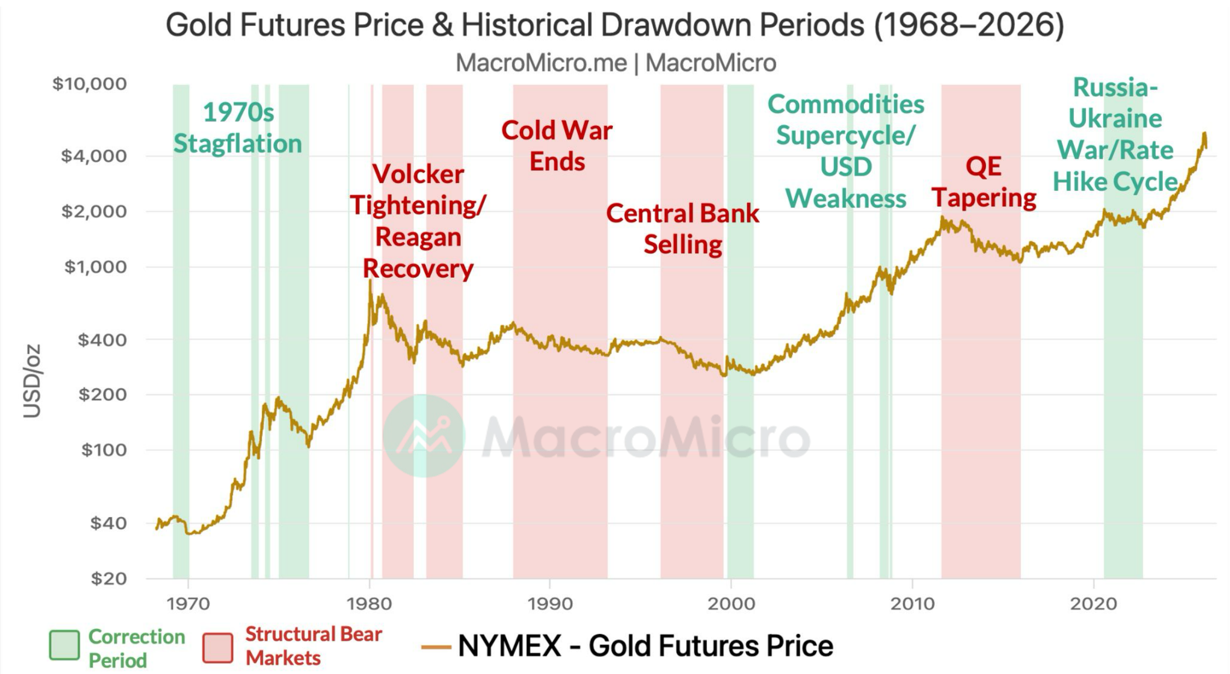


Drawdown Approaches Secular Bear Territory, But Three Structural Conditions Remain Unmet

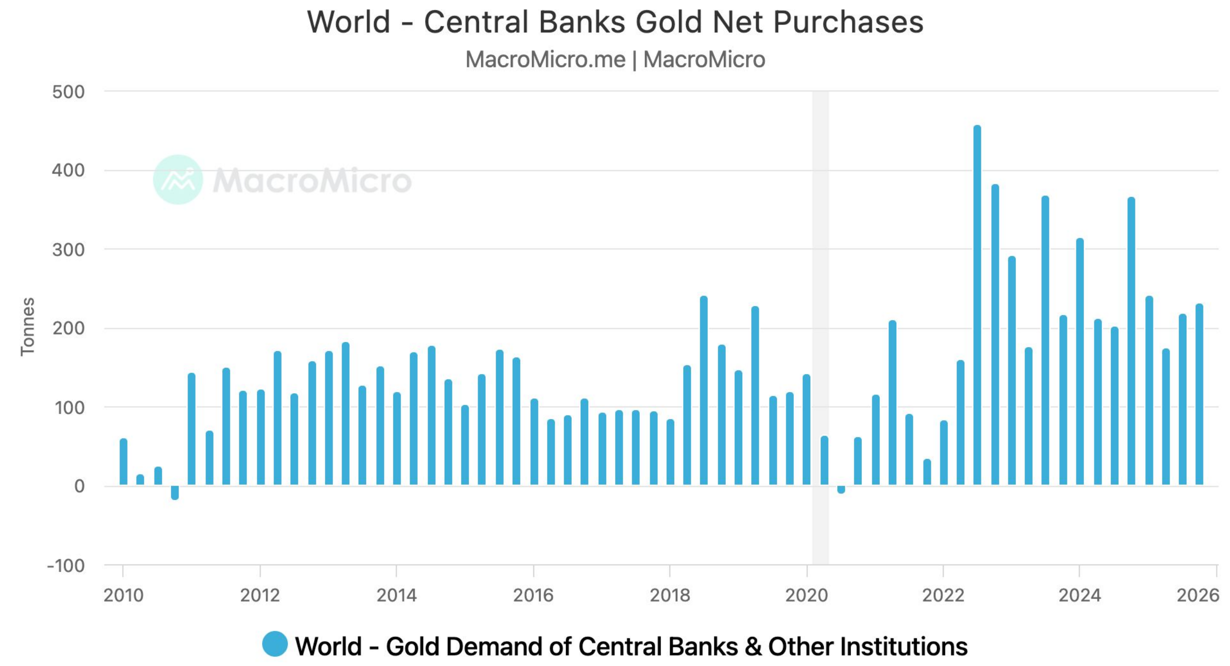
Gold's near-20% drawdown from its January high of $5,600/oz approaches the secular bear market threshold. Prior sustained gold bears (1980-1982, 1983-1985, 2011-2015) required three conditions: Volcker-scale monetary tightening, central banks shifting to net sellers, and reduced geopolitical risk. When these converged, gold fell an average of 40.6% over ~29 months.

None of those conditions exist today. Slowing employment and constrained fiscal capacity limit Fed tightening. Global central banks remain structural net buyers, reversing the 1980-2000 net-selling regime. Escalating geopolitical conflict reinforces de-dollarization and sovereign demand for non-dollar reserve assets, sustaining gold's structural demand base.

Prior -20% drawdowns lacking all three structural conditions resolved as mid-cycle consolidations rather than secular reversals



Sustained central bank net accumulation through the current episode is structurally opposite to the buying-to-selling transition that preceded past secular bears



Correction Depth Hinges on Oil Persistence & Rate Hike Pricing

The current market drawdown aligns with a bull market mid-cycle correction (historically ~26% over nine months). At -20%, the correction is in range, with terminal depth largely dependent on whether sustained high oil prices alter central bank rate paths.

Central bank rate hike pricing is the key link between oil and the correction's end. Monitor the 10-year TIPS breakeven and Fed funds futures strip; a structural bull case reasserts with a sustained reversal in real rates combined with oil price stabilization. Gold reserve liquidation by emerging market central banks could signal a breakdown in the net-buyer consensus.

Oil shock persistence is the primary fork determining whether gold stabilizes or extends losses

Gold x Inflation x Rates	Transient Oil Shock, Inflation Expectations Recede	Persistent Oil Shock, Inflation Expectations Remain Elevated
Fed Hawkish	**Bearish gold:** rising real rates and a stronger dollar, analogous to 2022 or 1980–1982	Near-term bearish; rate hikes attempt to suppress inflation but cannot resolve the energy crisis. If the economy ultimately buckles under pressure, a pivot to easing likely follows, leaving gold favorable over the longer horizon
Fed Dovish	**Moderately bullish gold:** remaining room to cut rates, with dollar and real rate pullback, supports a resumption of the uptrend	Most bullish gold: a replay of the 1970s scenario, with fiat purchasing power and credibility eroded and safe-haven demand surging

Rate cut pricing reverting across major central banks is the clearest signal of real rate relief ahead